

Ownership Modes at RealX

RealX introduces a pioneering new product that will enable investors the ability to invest in smaller amounts as well as have much diversified and deeper options to exit from these investments. Our promise hasn't changed and remains the same – you own and control where you invest. With our new product you get the power of Distributed Ledger Technology – now you have better control, better transparency, and better governance.

Now, we offer property tokens alongside our well-established 'Registered Co-ownership' (RCO) product. The Property Tokens hold a 'Right to Registered Co-Ownership'.

The Property Tokens offer legally enforceable Secure Direct Rights (SDR) over the property with an Option To Convert (OTC) into a proportionate Registered Co-Ownership by exhausting the token. Such a right, when exercised by the Token Holder can be executed into Registered Co-Ownership through a deed executed at Sub-Registrar's office.

As an investor, you will have full beneficial rights emanating from the property (as a Registered Co-owner would) and such rights and terms are established within the Property Token.

Best of all, your rights and obligations are also legally enforceable. RealX is a global pioneer in introducing this – so you can feel safe and invest with confidence.

Registered Co-Ownership

This is the first innovation introduced by RealX. This model offers people the chance to invest and have direct rights of co-ownership of the properties and assets that it lists on the platform. These rights are established through registered property deeds at the respective sub-registrar's office. This mode is referred to as 'Registered Co-Ownership' mode.

There is a natural limitation to how many people can subscribe to such direct co-ownerships. This leads to a situation where the minimum investments for direct co-ownerships can become prohibitively high, especially for high-valued properties or assets.

Challenges of Registered Co-Ownership

The Registered Co-ownership suffers from challenges of registration etc. when you exit your investment. Because of these challenges of higher ticket sizes and the process (and time) for registration, the liquidity (options to exit) in the market for secondary sales of Registered Co-ownership will not be as high as experienced in other digitally available assets like Stocks and Bonds, etc.

Reasons valid enough for us to move forward when the time became right.

Property Tokens

RealX introduces a new model that enables more people to participate in quality properties. Now, everybody can invest in smaller amounts even if the property is high-value property – that too without changing the linkage of their investment with direct property ownership (something that we pioneered earlier).

Given some favorable changes and clarity in some laws, it was now possible for RealX to offer an instrument (i.e. the Property Token) that gives ‘Right to Registered Property’. This right comes with all the benefits and obligations that are enjoyed by a normal co-owner (in the ‘Registered Co-ownership’ model). Therefore, while you may not be a Registered Co-Owner yet (until you decide to convert), you are a full and direct beneficial owner of the property, for exactly the same proportion, exactly equivalent to a co-owner. Consider this Right to be a Digital Contract or Undertaking that gives you the option to get a document (deed) evidencing your Registered Co-Ownership when you decide to exercise this option (and in turn exhaust or ‘Burn’ the Token).

Similar Digital Contracts to ‘deliver’ an asset or commodity have been very common and are even traded on our regular exchanges too. Traditionally the exchanges have used Depositories as an electronic registry. In our case, we use Blockchain as a registry. We’ve just improved on what already existed, by using the core essence of Distributed Ledger Technology to bring you better and more secure technology. It can usher in a whole new world of products and solutions as the world embraces more Web3, much of which haven’t been imagined yet.

Advantages of Property Token

Immutability, safety, and security are some of the natural advantages of the Distributed Ledger technology that investors can benefit from.

Another benefit is that since this is a completely Digital record, RealX can process investments in very small amounts. This allowed us to reduce the minimum investment amount to begin with INR 5000 now – in turn, making this dream of investing in high-value, high-quality, and high-return properties accessible to everyone.

Apart from that, the big advantage also is that the Property Token can be listed on other Token Exchanges for better investment and liquidity (exit) options for investors.

RealX Ownership Modes – A Comparison

Tokenisation	Registered co-ownership(RCO)
Digital Asset	Not a digital Asset
Token Trust Acts as sole Co-Owner in Sale Deed	Co-Owners' name directly included in Sale deed
Beneficial Co-Ownership right in property	Direct Co-Ownership right in property
Transfer does not require registration (Even as per property laws)	Transfer requires registration
Property based taxes applicable(Crypto tax does not apply)	Property based taxes applicable
Stamp Duty not applicable(on Token sale)	Stamp duty applicable on sale
Easier to Sell/Transfer	Difficult to Sell/Transfer
Token Holder KYC mandatory (Even if bought in secondary)	KYC mandatory for all RCO investors
Can be held by Indians as well as foreigners	Only Indians can become co-owner by RCO
Custody as well as all Rights & Obligations rest with Token Holders(as Beneficial Owners)	Custody as well as all Rights & Obligations rest with Token Holders(as Beneficial Owners)

Why Now?

The core construct of RealX was always designed to leverage the power of Distributed Ledger Technology commonly called Blockchain. We had waited so far for more clarity in legal, tax, regulatory, and technology frameworks to evolve. This was to ensure we are more sure-footed and our investors' interests are covered well.

There are some recent positive developments that make a compelling case for RealX to launch Property Tokens now.

- Government of India classifying Property linked Tokens to be out of purview of punishing 'Crypto Tax'.

<https://www.realx.in/assets/documents/GR-issued-by-CBDT.pdf>

- Amendment in IT Act to include property-related transactions within the purview of IT Act.

<https://community.nasscom.in/communities/policy-advocacy/update-meity-unlocks-digital-documentation-financial-and-real-estate>

Repeated clarity by Government that they welcome innovation in Blockchain-based products and solutions.

Also, there were challenges in the core technology even as it was rapidly evolving. We now have some workable solutions that can be a decent start.